

at IIT Madras, is helping MSMEs conduct energy efficiency assessments free of charge and recommends changes to improve it. It has conducted 150 such assessments across sectors, but the highest interest as of now is seen in export-oriented industries such as textiles and leather.

The consortium is also working on building an ESG reporting framework for MSMEs to generate data related to the sector.

FINANCES

One factor that needs to be considered when looking at the transition is the amount of money this costs. Many small firms might find it hard to access such funds, and hence monetary incentives will be required in the form of cash, tax credits, easy lending from banks, and relaxing credit guarantees. These are some of the issues flagged by FISME.

“Financing the MSME transition is a key challenge. There is an urgent need to create an ecosystem that facilitates this. The actors of such an ecosystem—government, industry, and financial institutions—will have to collaboratively develop alternative models of finance that can work in the Indian landscape,” adds Arora.

MSMEs seem to be very keenly aware of the need to make the transition. A survey by DBS Bank and Bloomberg Media Studios completed in November 2022 found that almost all such firms (92%) are focussed on adopting ESG measures to be part of the global value chain. However, 57% face challenges like the cost of deployment of ESG initiatives.

Rohan A. Shah, Director of professional services firm PwC India, says there are other challenges beyond financing as well. These include limited awareness and capacity, resource constraints, compliance burdens, and market access and recognition.

“Limited access to finance is a significant barrier for MSMEs looking to invest in sustainability initiatives. Policy interventions should focus on improv-

ing access to finance for ESG projects through measures such as dedicated green financing schemes, subsidised interest rates for ESG investments, and incentivising banks and financial institutions to prioritise lending to sustainable MSMEs,” says Shah.

Beyond these initiatives, some listed entities are taking the onus and working with their value chain partners to help them in their transition journey. PwC’s assessment of publicly accessible BRSR reports of the Top 100 companies in FY24 found that 62% of companies provided training on key ESG issues to their value chain partners, while 54% of companies assessed their value chain partners against environmental indicators.

Many MSMEs, too, are working proactively to cut emissions at their end. According to PwC, MSMEs are innovating products and services keeping sustainability in mind, thereby driving value chain decarbonisation. For instance, engineering MSMEs are developing energy-efficient machinery and equipment that consume less electricity and produce lesser emissions during operation.

Similarly, agro-processing MSMEs are introducing eco-friendly packaging solutions made from biodegradable or recycled materials, reducing the carbon footprint of packaging and distribution activities. By offering sustainable products and solutions, these MSMEs catalyse broader shifts towards decarbonisation across value chains.

Textile MSMEs are adopting closed-loop production systems where discarded garments are collected, recycled, and reintegrated into the production process.

FISME’s Bhardwaj feels MSMEs have begun the decarbonisation

journey, and there is no escape as the listed entities will have to provide value chain disclosures. But the focus should be on devising a comprehensive transition pathway. **BT**

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HELPING HAND

62%
of firms provided training on key ESG issues to their value chain partners

60%
of companies conducted health and safety assessments for their value chain partners

54%
of companies assessed their value chain partners against environmental indicators

SOURCE PWC’S ASSESSMENT OF BRSR REPORTS OF THE TOP 100 COMPANIES IN FY24